Stock Focus

Tabcorp Holdings Ltd (TAH-ASX)

E&P

TABula rasa and time to have a look

Recommendation: Positive

Last price	**AUD0.70**
Valuation	**AUD1.02**

TSR

Upside to valuation	45.0%
Dividend yield	2.9%
Expected total SH return	47.9%

TAH-ASX share price history
Source: E&P Research, IRESS



Trading Data

Last price	AUD0.70
Valuation	AUD1.02
Market cap ($m)	$2,382
Shares outstanding (m)	2,282.4
Free float (%)	1.0

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Potential positive catalysts coming

In this report we update for the following:

- **Recent industry feedback and data points** - Turnover appears to be down notably still driven by racing, but Tabcorp appears to be gaining share, and there is some anticipation of an improved environment in FY25.
- **NSW level playing field** - We have done some deeper work on this and have a range of EBITDA benefit outcomes from $120m (low end with 20% POCT) to $170m+ (high end and 15% POCT remains). We believe investors need to start positioning for this catalyst now.
- **Advertising restrictions** - We have reviewed international cases of advertising restrictions. They generally indicate muted impact on turnover, but also in general a higher margin and slightly more concentrated operating environment afterwards (both favourable to Tabcorp).

Given both NSW level playing field and advertising restrictions could come in different forms, and both have uncertain timing, we don't have any impacts officially in our forecasts presently. Neither does consensus. As such we believe both could present catalysts for reasonable upgrades to market earnings forecasts and valuations.

Changes to forecasts and valuation

We reduce our shorter term EBITDA forecasts across FY24-26 by -1.5%/-4.0%/-5.4%, however we now incorporate a 50% weighting on a NSW level playing field event, which adds 12cps to our valuation. Our valuation therefore increases to $1.02/sh (+10.4%).

Our view

We continue with our Positive recommendation on Tabcorp. We believe that the wagering market is not far from a bottom, and may in fact already be there. In the meantime two potentially significant positive catalysts are on the horizon with NSW level playing field a potential event this year, and advertising restrictions expected this year as well.

Earnings Forecasts

Yr to Jun (AUD)	23A	24E	25E	26E
EBITDA	390.8	324.1	455.7	470.6
Adjusted Net Profit	84.1	25.8	90.9	118.6
Adj. EPS (c)	3.7	1.1	4.0	5.2
DPS (c)	2.3	2.0	2.0	3.0
Yield (%)	**2.1**	**2.9**	**2.9**	**4.3**
EV/EBITDA (x)	**6.8**	**7.2**	**4.9**	**4.5**
Valuation (blended)				**AUD1.02**

Source: E&P Research

Update on Tabcorp

This note functions as an update on a number of topics related to Tabcorp including the following:

- Shorter term feedback - p3
- Anecdotes from recent competitor financial reports - p4
- Market Trends Data - p7
- NSW Level Playing Field deeper work - p9
- Potential Advertising Bans in Australia - p14
- International Case Studies on Advertising Bans (Italy and Spain) - p18
- Changes to Forecasts and Valuation - p25

Overall our conclusions from this report are:

- Shorter term dynamics - It appears that Tabcorp is gaining market share again this half. Turnover is down, focussed in racing (sports appears to be in recovery phase now), but margins on turnover have risen from lessening competition. As such, Tabcorp's net revenue trajectory looks "ok" right now given share gains.
- NSW Level Playing Field - Our revised work on this topic indicates a stand-alone EBITDA uplift from NSW level-playing field in the range of $160-175m at a 15% POCT, or $120-130m at a 20% POCT (both digital and retail would incur higher taxes in this event).
- Potential Advertising Bans - Case studies indicate that there is often a pull back on turnover volumes in the lead-in to advertising bans (like what has happened in Australia right now), but that bans themselves don't lead to significant reductions in wagering turnover or revenues (for turnover this is a bit more muddled). In addition, the two case studies we look at demonstrate that concentration among incumbent larger players has increased post advertising bans (albeit causation attribution is not straight-forward).

In this note we reduce our shorter term earnings forecasts having adjusted for lower turnover, higher market share, and lower margins from investment to gain higher market share.

We increase our valuation to $1.02/sh (+10.4%) due to now incorporating a 50% probability of Tabcorp achieving a level playing field outcome in NSW. We presume a 20% POCT comes in for sizing the potential benefit and capex associated with this outcome in our valuation (not in our published forecasts for now).

Competitive Landscape

Industry Feedback

Turnover

- Market's initial reasons for the recent softness was interest rates. However, since seeing strength in other forms of gaming and the difference between betting events concerns have emerged that the weakness may not be as temporary as first thought.
- Racing turnover has been materially down since the post-COVID peak.
- Sports turnover is holding up.
- Average bet sized has reduced.
- Increase in the higher yield same-game/race multis.
- The impact of multis reducing player reinvestment.
- Starting to cycle easier comps. Mixed feedback as to when they will/did kick in.

Promos

- Generosities are well down on recent years. Redemption of free products down -40% yoy.
  - Promo's have become targeted with personalized offers.
  - Operators have cracked down on unprofitable players/promo chasers.
  - Betr $101 promotions are no longer inflating the market.
- Larger players SportsBet and Ladbrokes which are both owned by overseas parents have had a broader pull back of investment. They have done this by reducing their promotional activity.
- POCT increases have also been mentioned as a reason for a reduction in promotions.

Market Share/Product Innovation

- The pullback from the overseas operators has aided Tabcorp's share.
  - 1H24 saw digital revenue market share increase to 24.4% from 23.9% in 2H23 after many years of decline to SportsBet & Ladbrokes
  - Smaller players PointsBet & BlueBet have also benefited despite also cutting back on promos.
- Tabcorp's app has significantly improved which has also helped stop the loss of market share.
  - They are continuing to invest in the app with a new cloud based fixed odds' system.

Net Margins

- Margins are increasing due to a combination of factors.
  - Are seeing an increase in overrounds (worse odds for customers).
  - Reduced generosities.
  - Crackdown on unprofitable customers.
  - Growth in higher margin products (e.g. same-game multis).
  - Offset increases in POCT, race fees and cost of media fees.
- Challenging margin to cycle in Dec-23 quarter due to favorable Melbourne Cup outcomes. Feedback indicates it was the best revenue week ever.

March Quarterlies

Below we have briefly summarized the Mar-24 quarter commentary from various competitors.

SportsBet

- Flagged softer racing dynamics vs. sport.
- Market appears to be stabilizing.
- Greater efficiency in promotional spend.

Ladbrokes/Neds

- Softness was largely anticipated.

PointsBet

- Racing/Sports delivered mid-single-digit / double-digit net win growth vs. the pcp.
- Gaining market share.
- Began removing zero-value clients over a year ago and are now cycling out of those comps. Expect turnover and actives growth to more closely match net win growth going forward.
- Expect 12% net margin to be the medium-term target.
- 2H24 marketing will be greater than 2H23.
- Approx 1-month after their quarterly results, PointsBet issued an earnings guidance upgrade to their normalized EBITDA from a loss of $9m-$14m to a loss of $4m-$6m. Management cited strong YTD trading in 2H24, increased operational efficiency and productivity as the reason for the upgrade.

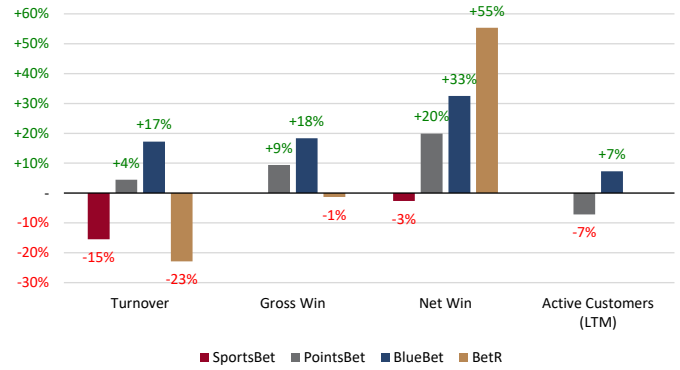
BlueBet

- Sports turnover +48% yoy, Racing Turnover +10% yoy.
- April continues to be strong month with healthy margins.
- Gaining market share.
- Cost per first-time depositor of $250 (down -19.4% yoy)
- Average annual customer value of $908 (up +10.2% yoy)
- Same Game Multis turnover +26%, Same Race Multis turnover +47%.
- Have positioned themselves for the proposed new wagering regulations in Australia by shifting media investment away from above the line to targeted acquisition media.

Below we have compared the available data for key line items. SportsBet underperformed the smaller players and ceded share as the global company partially withdrew its investment in the Australian market. The clear trend across the board is a focus on profitability. Turnover growth was considerably smaller than net win growth and change in active customers

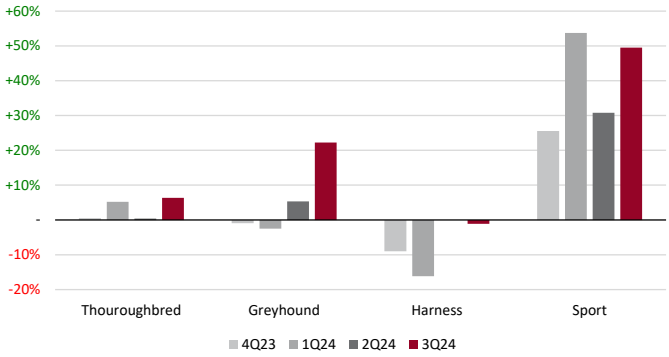
BlueBet, which disclose turnover by event, has seen particular strength in sporting event turnover with racing lagging, consistent with industry feedback.

Exhibit 1 - Avaliable Australian Wagering Comps - 1Q24 YoY Growths



Source: Company Data, E&P Estimates. Note BetR Net Win is Pro Forma.

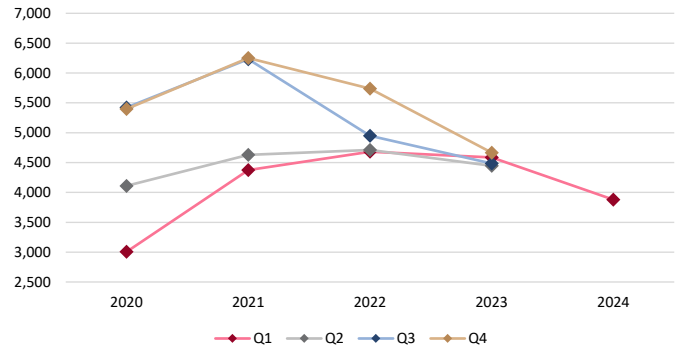
Exhibit 2 - BlueBet YoY Turnover Growth by Event



Source: Company Data, E&P Estimates

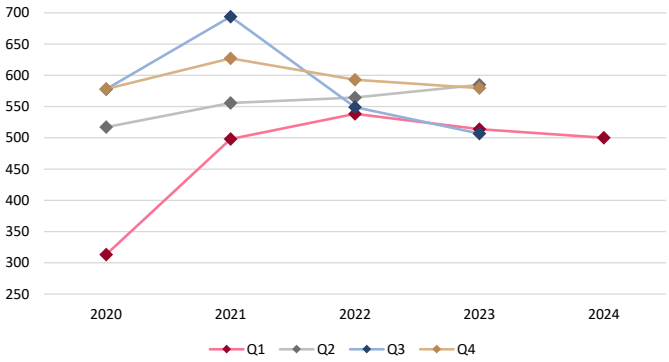
As seen in the chart above, SportsBet's 1Q24 turnover was -15% yoy. Although 1Q24 is traditionally a weaker quarter, this is still meaningfully down on recent periods and the lowest since 1Q20. However, net win was not materially down when comparing on a seasonal basis.

Exhibit 3 - SportsBet Turnover by Quarter



Source: Company Data, E&P Estimates

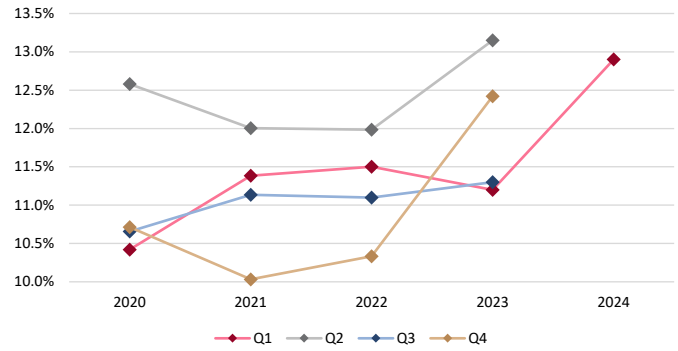
Exhibit 4 - SportsBet Net Win by Quarter



Source: Company Data, E&P Estimates

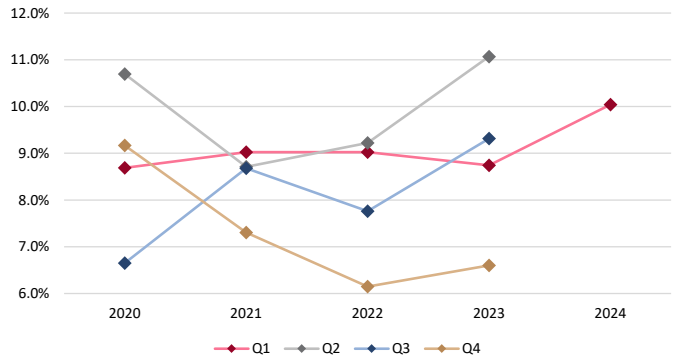
Despite already being a market leader in net win margin, each of the last four quarters observing margin expansion (+1.2%, +0.2%, +2.1%, +1.7%), PointsBet also observed a similar margin expansion with growths of +1.8%, +1.5%, +0.5% & +1.3% over the past 12-months.

Exhibit 5 - SportsBet Net Win Margin by Quarter



Source: Company Data, E&P Estimates

Exhibit 6 - PointsBet Net Win Margin by Quarter



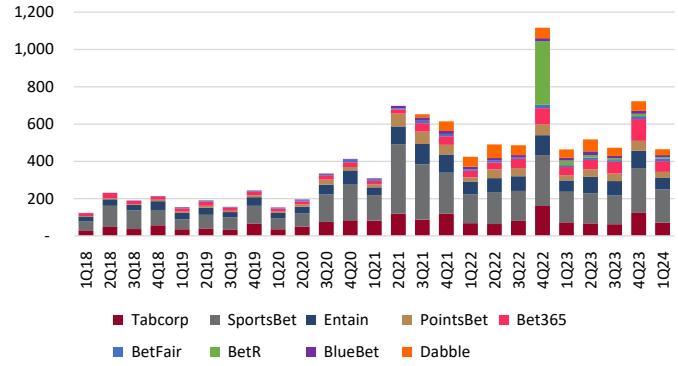
Source: Company Data, E&P Estimates

Market Trends Data

App Downloads

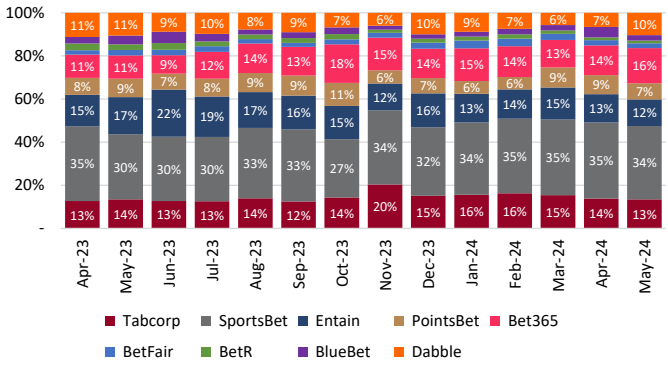
App download data has remained muted/flat

Exhibit 7 - Australian Wagering App Downloads (000's)



Source: AppMagic, E&P Estimates. Note: data includes IOS & Google stores, excludes non-mobile channels

Exhibit 8 - Australian Wagering App Downloads Market Share



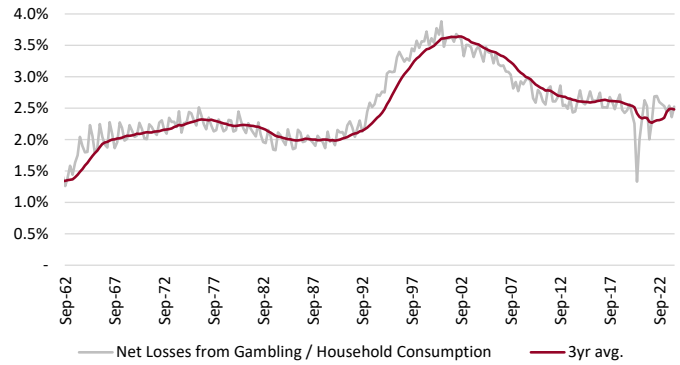
Source: AppMagic, E&P Estimates. Note: data includes IOS & Google stores, excludes non-mobile channels

Market Trends

Although regulation continues to impact bookmaker operations, we believe that the consumer spend should return to moderate growth over the long term. Gambling spend as a % of household consumption peaked in the year 2000, before declining over the next decade. The primary driver of this was a flattening of gaming machine spend which dropped from 1.8% of HDI in 2000 to 1.2% in 2010. Gambling spend then stabilised throughout the 2010s with wagering the primary beneficiary. Once the market returns to the pre-COVID trendlines, we expect wagering to continue to be the strongest growing gambling form given:

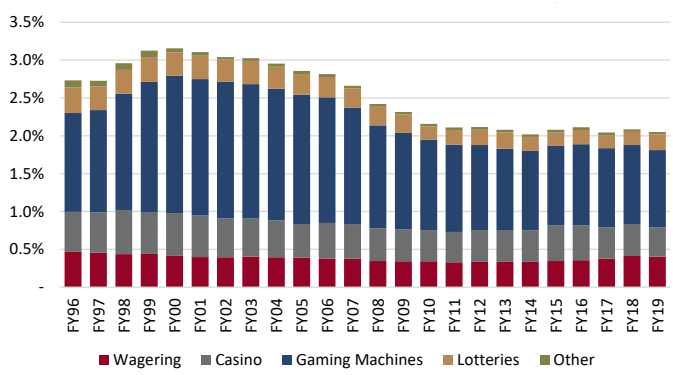
- Wagering is the best placed to benefit from further digital migration of consumer spend and leisure time.
- Wagering has the most opportunity for product innovation.
  - More markets & more ways to bet. Punters access to watching more sport will also continue to evolve.
  - This includes the potential (albeit not in the near future) for live in-play betting without the need to call up the bookmaker should the Australia's Interactive Gambling Act be amended.
    - Live betting in US represented 59% of total 3Q23 US turnover for PointsBet.
    - Europe is also believed to have over 50% of turnover in-play.
- Other gaming forms will eventually become cashless, whilst wagering has mostly migrated except some retail wagering.

Exhibit 9 - Gambling Spend as a proportion of Household Consumption



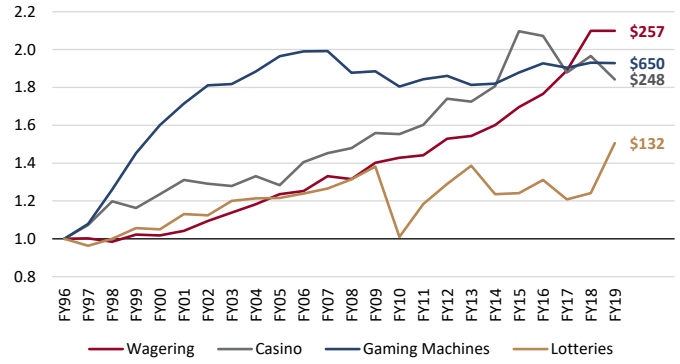
Source: ABS, E&P Estimates

Exhibit 10 - Australian Gambling Expenditure as a % of HDI



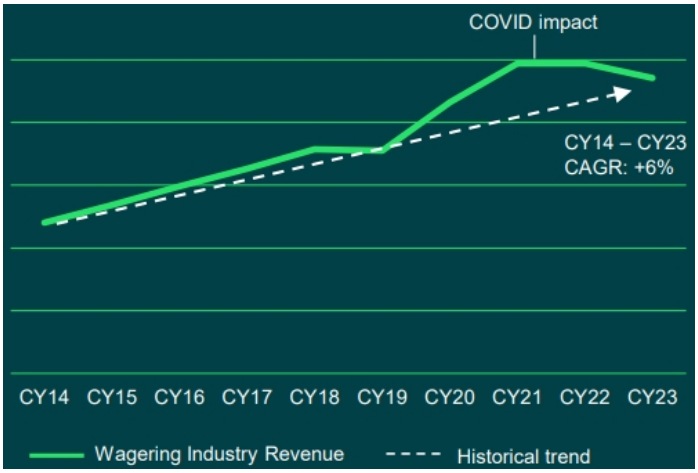
Source: Australian Gambling Statistics, ABS, E&P Estimates

Exhibit 11 - Australian Gambling Expenditure per Adult Index (FY96 = 1.0) - FY19 nominal value as label (A$)



Source: Australian Gambling Statistics, ABS, E&P Estimates

Exhibit 12 - Australian Wagering GGR



Source: Tabcorp

NSW Level Playing Field

A key feature of our bull thesis that we previously flagged in our initiation (link) was the potential for a level playing field on a national level, particularly in NSW. Until this is achieved, Tabcorp will continue to operate with lower margins in certain states, impacting their ability to invest in product, marketing and generosities. There is also typically additional operating restrictions associated with these retail licenses as well and the need to meet license requirements in multiple jurisdictions as opposed to just the Northern Territory.

Remaining gaps in level playing field

With the announcement of the new Victorian licence and the accompanying level playing field, Tabcorp now only has a competitive disadvantage in two states: NSW & South Australia. Per Tabcorp's disclosure, discussions are underway in both of these about creating a competitive balance and potential increases to the POCT. Our industry feedback suggests that an increase in POCT in South Australia would be difficult for Tabcorp to push at the present time. This is because SportsBet just did a major commercial sponsorship deal with the Jockey Club with a clear condition that there wouldn't be any increase in POCT or product fees.

Exhibit 13 - Australian Wagering Dynamics by State

State or Territory	NSW	VIC	QLD	SA	WA	TAS	ACT	NT
POCT	15%	15%	20%	15%	15%	15%	25%	N/A
Latest Change	1-Jul-22	1-Jul-24	1-Dec-22	1-Jul-17	1-Jan-19	1-Jan-20	1-Jul-23	N/A
Tax free threshold	$1,000,000	$1,000,000	$300,000	$150,000	$150,000	$150,000	$150,000	N/A
Level Playing Field	No	Yes	Yes	No	N/A	Yes	Yes	N/A
Racing Industry Flow	33%	50%	80%	20%	30%	80%	80%	N/A

From 1 July 2024
In discussions for a review
Note: In the NT, wagering bodies pay licencing fees instead of POCT

Source: Various State Gaming Bodies, E&P Estimates

NSW Announcement

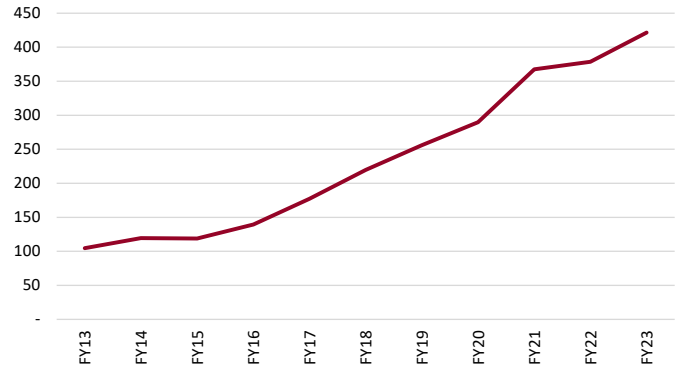
Last Friday Tabcorp made a release to the ASX noting that the NSW government has established a formal process to consider reforms to the NSW wagering tax regime, regulation and industry funding that, if implemented, would create a level playing field and modernise retail exclusivity similar to recent reforms in VIC and QLD (link).

Timeline & Racing NSW

Our industry feedback suggests that the window for a potential resolution is likely to be within CY24, far earlier than what the market may have anticipated just a few months ago, albeit consensus indicates that the market is not expecting this at all presently. Over recent weeks, meetings involving NSW Treasurer Daniel Mookhey, the state government and bookmaker officials have taken place. We note that the situation differs from Victoria in one key factor: the Victorian retail licence had expired. In contrast, Tabcorp's NSW retail licence originally signed in 1997 expires in 2097 and includes retail exclusivity until 2033.

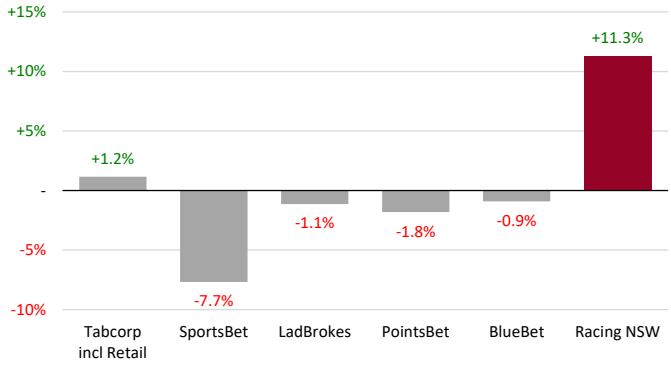
Current media reports indicate that the Peter V'landys led Racing NSW would not be interested in a retail licence restructure. At present, funding arrangements are quite favorable for Racing NSW. They get a combination of POCT, fixed funding and a variable share of retail revenue. Per their annual reports, NSW Racing revenue has grown considerably to $421.5m in FY23, over 4x what their revenue was in FY13. Furthermore, they managed to achieve strong yoy growth in FY23 despite the vast majority of bookmakers observing a pullback.

Exhibit 14 - Racing NSW Revenue ($m)



Source: Racing NSW, E&P Estimates

Exhibit 15 - Comparison of FY23 Australian Wagering Revenue Growth (yoy)



Source: Racing NSW, Company Data, IRess, E&P Estimates

Current NSW Arrangement

NSW currently charges a universal 15% point-of-consumption-tax on all wagering in the state. There is a carve-out for TAB (which

Tabcorp has the licence for currently) whereby it can offset its POCT obligations against existing funding arrangements in place.

At present TAB (and therefore Tabcorp) is party to a Racing Distribution Agreement under which it pays certain taxes to the NSW racing industry. From independent public documentation we have been able to find the following information about the agreement. We note that because we have not been able to get an unredacted copy of the Racing Distribution Agreement, we do not know the full extent of fees, obligations, or any potential offsets, involved in the agreement:

- A Product Fee of 21.9965% of net wagering revenue;
- A Wagering Incentive Fee of 25% of wagering earnings;
- An annual Fixed Product Fee of $12m indexed to CPI; and
- Other fees in respect of particular products.

There is then an Intercode Deed between Racing NSW (thoroughbreds), Harness Racing NSW and Greyhound Racing NSW which splits this fees 72% to Thoroughbreds, 15% to Harness and 13% to Greyhounds.

Our understanding is that one of the key level-playing-field motivations outside Tabcorp is that presently Greyhounds appears to be under-earning vs their contribution to wagering volumes from this arrangement.

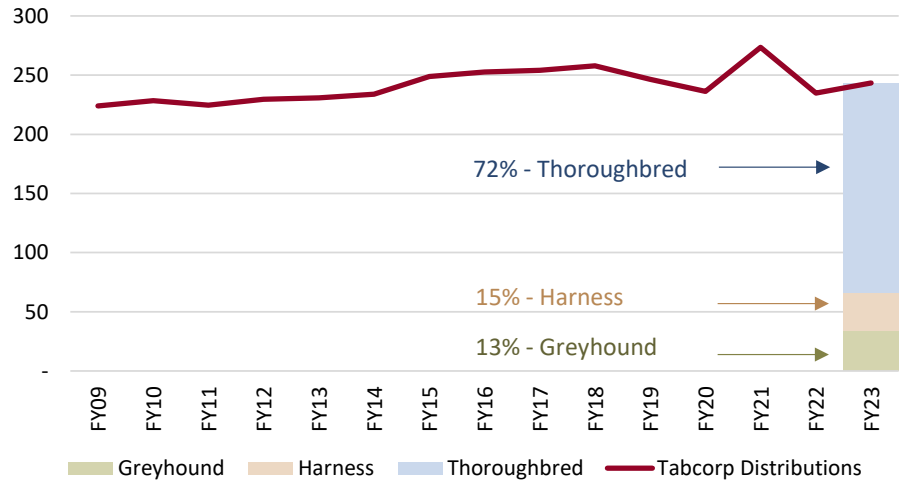
Note that these elements relate to all wagering revenue of TAB NSW, not just wagering related to NSW racing.

The 15% POCT in NSW is imposed on net wagering revenue in NSW above threshold minimum net revenues. As such, in the event of achieving a fully level playing field there is an obvious step-down in tax rate for Tabcorp that would occur in NSW.

We have attempted to quantify this using disclosures from the various NSW racing bodies. At present the three racing bodies provide disclosures around their distributions from TAB NSW as follows:

- In FY23 Racing NSW noted that it had received a $177m distribution from TAB
- In FY23 Harness Racing NSW noted it had received $32.3m from TAB
- In FY23 Greyhound Racing NSW noted $33.9m in TAB distributions
- Total FY23 distributions by NSW TAB = $243.2m

Exhibit 16 - Tabcorp Distribution to NSW Racing Bodies per Intercode Deed ($m)



Source: NSW Intercode Deed, Racing NSW, Harness Racing NSW, Greyhound Racing NSW, E&P Estimates

In comparison, currently both Harness Racing NSW and Greyhound Racing NSW disclose their POCT share in NSW. Using information from the Intercode Deed you can infer POCT for Racing NSW as well (they receive a 72% share under the Intercode Deed). We believe total POCT paid by all other players in 2023 was $80m composed of the following:

- Greyhound Racing - $8.6m
- Harness Racing - $13.8m
- Thoroughbreds (Racing NSW) - $57.6m

We note that some media outlets have reported Racing NSW as receiving as high as $70m in 2022-23 (a specific source being the Sydney Morning Herald on 2nd December 2023 in the article entitled 'Unfathomable': the new tax fuelling racing's growing power). If this is accurate then the total of all other players would instead be $92m. Whether the right number is $80m or potentially $92m, the figure represents the total POCT paid by all online operators, and is a substantially lower overall funding source than the burden put on the retail license.

Potential NSW Upside

POCT Liability

Tabcorp earned cash wagering revenue of $818.4m in 2023. In Australia overall NSW typically contributes ~38% to retail wagering volumes, however we note that the Tabcorp 2023 figure excludes part of retail earnings related to Victoria, and also features no revenue from WA.

WA has historically contributed ~13% of total retail wagering volumes, however with volatility based on cyclicality of the economy (by the looks of it) meaning that contribution has varied from a low of 10.8% to a high of 23.4%

If we gross up the $818.4m with an additional $344m of Victorian revenue, of which we believe ~$80m is digital (coming in post the VIC JV unwind), this provides $1082.4m total retail revenue. This leads to the following maths around the potential benefits to Tabcorp from a NSW level playing field (before any payments that the company might make).

Exhibit 17 - NSW level playing field benefit

TAH retail 2023	818.4		
VIC Licence add-back 2023	344		
VIC digital deduction 2023	-80		
All-ex-WA 2023	1082.4		
WA contribution historical range	10.8%	13.0%	23.4%
Overall Retail $ 2023	1213.5	1244.1	1413.1
NSW Share historical average	39%	38%	37%
NSW Retail $	473.2	472.8	522.8
Existing TAB payments to Industry	243.2	243.2	243.2
Implied Tax Take (%)	51.4%	51.4%	46.5%
POCT @ 15%	71.0	70.9	78.4
POCT @ 20%	94.6	94.6	104.6
Net EBITDA to Tabcorp from Level Playing Field			
@ 15% POCT	172.2	172.3	164.8
@ 20% POCT	148.6	148.6	138.6

Source: E&Pe

Fair Price

As is the precedent from both Victoria and to a lesser extent in Queensland, it is likely going to cost Tabcorp a reasonable amount of money to achieve NSW level playing field. In Victoria, Tabcorp ended up paying ~6.2x the annualised benefit (on a trailing basis) on an NPV basis for the retail license plus the level playing field uplift. In the case of NSW they already have paid for the retail license exclusivity until 2033, and for the general licence to operate until 2097, so the multiple, all else equal, should be lower than VIC. If we presume 5-6x EV/EBITDA for the residual, then you get a range on the NPV that Tabcorp would need to make in the order of $743m-$892m presuming mid-point estimate of NSW contribution to retail wagering volumes, and a 20% POCT outcome. It is quite possible the right multiple would be less than 5x given it is an existing long term license, but also there is the possibility of a 15% POCT or a smaller retail percentage of revenues, both of which could driver higher EBITDA and a higher valuation as well.

Impact on Digital from a potential 20% POCT

In NSW presently POCT is calculated based on the net wagering revenue an operator earns, and is presently set at 15% (since 1 July 2022). Tabcorp's retail business has a carve-out due to the other taxes it already pays as mentioned above, but Tabcorp's digital business does not. Tabcorp recorded net digital wagering revenue of $1142m in FY23. If we assume that 38% of digital wagering

revenue is earned in NSW (in line with retail volumes), this provides for an approximate uplift in POCT for Tabcorp's digital business (in the event NSW lifts POCT to 20% from present 15%) of $1142m x 38% x (20% - 15%) = $21.7m.

Beyond the basics of a higher tax rate though, there is the potential for competition to diminish in reaction to higher tax rates, offering less promotions and/or potentially less attractive odds in order to manage to better margin outcomes with controllable drivers to offset higher tax. This could reduce the net impact to Tabcorp's digital business.

Depending on the negotiations, Tabcorp may also be able to reduce the multiple it pays in reflection of this ongoing tax impact on its digital business,

Potential Advertising Ban in Australia

In 2023 The House of Representatives Standing Committee on Social Policy and Legal Affairs tabled the report of its inquiry into online gambling and its impacts on those experiencing gambling harm. The report, entitled “You win some, you lose more report” (link) had 31 recommendations that apply a public health lens to online gambling to reduce harm to Australians. The government has yet to respond to the inquiry, with delays pushing back the initial announcement.

The impending advertising ban is the next step in what has been a consistent government program to tighten regulation around gambling further and further, following on from the following actions in the last 2 years:

- Banned the use of credit cards for online wagering;
- Agreed new minimum classifications for video games with gambling-like content;
- Introduced taglines to replace the ineffective Gamble Responsibly; and
- Implemented monthly activity statements outlining wins and losses, and nationally consistent training for staff working in online wagering companies.

Industry feedback has continued to suggest that the Federal Government has consulted with industry and sports bodies, and is likely to enact some form of federal legislation this year introducing some of the recommendations in the report. A summary of the recommendations are as follows:

Proposed Restrictions

In our view, the key elements of the 31 recommendations as it relates to Tabcorp were as follows:

- "A phased, comprehensive ban on all gambling advertising on all media - broadcast and online, that leaves no room for circumvention, is needed. Partial bans on gambling advertising do not work...". The committee recommended a three-year phase in period taking note of the need for sporting bodies and broadcasters to have time to locate alternative sources of advertising revenue and to comply with current contractual obligations.
  - Phase 1: Prohibition of all online gambling inducements and inducement advertising, and all advertising of online gambling on social media and online platforms. Removal of the exemption for advertising online gambling during news and current affairs broadcasts. Prohibition of advertising online gambling on commercial radio between 8.30-9am and 3.30-4pm (school drop off and pick up);
  - Phase 2: Prohibition of all online gambling advertising and commentary on odds, during and an hour either side of a sports broadcast. Prohibition of all in-stadia advertising, including logos on players' uniforms;
  - Phase 3: Prohibition of all broadcast online gambling advertising between the hours of 6am-10pm;
  - Phase 4: By the end of year 3, prohibition of all online gambling advertising and sponsorship.
  - Gambling advertising on dedicated racing channels and programming should be exempt from the ban;
  - Small community radio broadcasters should be exempt from further restrictions until December 2025
- The committee also recommends funding a new national regulation framework and national online gambling regulator (whose sole purpose is reducing harm) via a levy on wagering service providers
- The committee recommends the Australian Government develops and implements technological solutions and resources to quickly and more effectively block offshore gambling websites including skin gambling websites and mirror websites, a protocol for blocking transactions to known illegal gambling operators in cooperation with Australian banks and other payment system providers, and stronger sanctions for companies and known individuals who profit from illegal gambling;
- Customer identities should be verified prior to the commencement of online gambling;
- The Australian Government should prohibit all online gambling inducements and inducement advertising, and that it do so without delay (commentary indicated that some of the impetus behind this was the delay in implementing BetStop)
- Introduction of national regulation that imposes a customer duty of care on online wagering service providers
- Consultation with industry and people who gamble to determine minimum bet limits for online wagering for inclusion in national regulation

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Industry feedback has generally suggested that the Federal Government is looking initially at measures that would shield children from gambling advertising. This has generally taken the form of bans on advertising via TV and Radio until after 8.30pm at night outright, and then limiting inventory on live sports to a lesser amount than is presently the case. This would effectively be a jump straight to a modified version of Phase 3 that is less punitive and will enable some Australian live sport to retain gambling advertising.

Industry expectations are that SKY will be carved out from any advertising restrictions given its status as a dedicated racing channel, and therefore that there will be some value accrual to SKY from advertising bans coming in.

So far we have had no indications that measures such as banning sports sponsorship or similar are being contemplated. Additionally, we have had limited feedback on specifics around Social Media

Overall if this feedback ends up being accurate, we believe this will be a net positive for Tabcorp, as the main industry fear is that less advertising will hit turnover, but this behaviour/result combination appears to be happening anyway at the moment with lower advertising budgets this year from most players in the industry, and reasonably lower turnover (but flattish revenue outcomes). The benefits on the other hand would be higher value for SKY which could either express as higher yields on advertising inventory, or as a unique channel

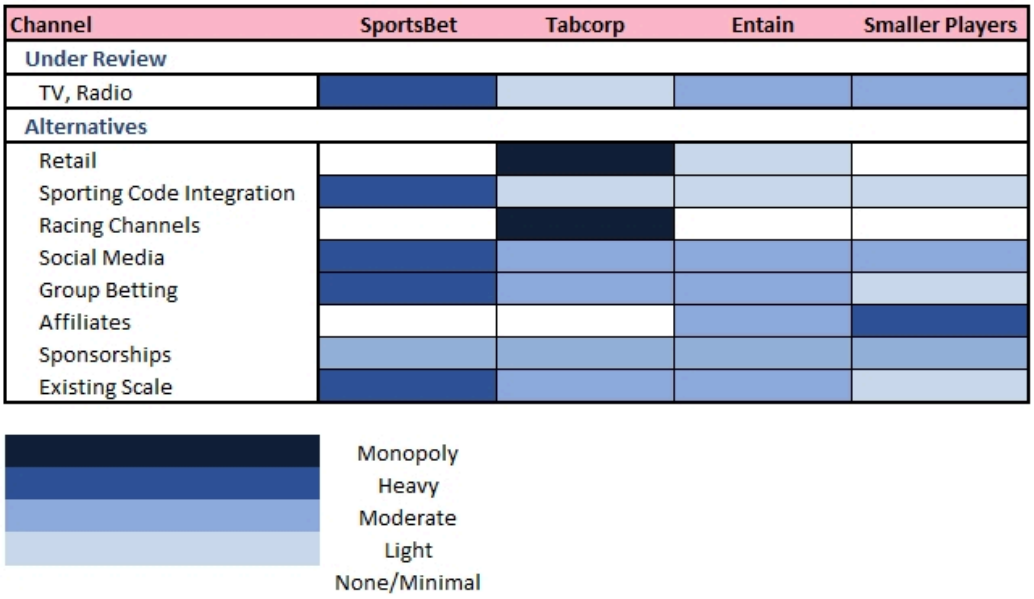
to market that would enable them to market where others cannot, and then also potentially more value in controlling retail licences which will enable brand advertising where others cannot as well.

Alternative Marketing Channels

Although the proposed advertising ban does restrict the major forms of mass marketing, there are still multiple alternatives that are available to operators.

The below graphic is a non-scientific depiction of our view of each major wagering operator's individual relative reliance on different marketing channels in order to attract wagering volumes.

Exhibit 18 - Scale of various Marketing Channels by Australian Wagering Operators



Source: E&P Estimates

- **TV & Radio** - Most impacted by likely changes. Sportsbet the most prolific advertiser on these formats means some combination of most margin expansion and loss of ability to distribute brand, or most need to adapt advertising strategy. We note that ACMA already prohibits advertising during programs classified as G, C and P between 6-8.30am and 4-7pm, and during programs principally directed at children between 5am-8.30pm. Rules currently exempt news, sports and current affairs. Additionally, for live sport there are other restrictions already in place including no gambling advertising from 5min before the published scheduled start of play until 5 minutes after play (including breaks) between 5am-8.30pm, as well as controls on how content is delivered and how brands are identified.
    - Presently there are exemptions for horse, harness and greyhound racing; accidental and incidental references such as signage and players' uniforms; lotteries, lotto, keno and similar; promotions of entertainment or dining facilities where betting or gambling takes place.
- **Retail** - Tabcorp the main player with large assets to utilise to distribute brand, however have historically potentially under-invested in these assets. With advertising bans in place it would likely make sense for Tabcorp to go through a higher capex cycle to accelerate rollout of Next-Gen Retail across a larger proportion of venues quickly to take advantage of the unique channel to market. It would also be likely that Entain and others would try to increase activity such as Entain-AHA arrangements, and would up the ante on the outcome of the case currently before the Supreme Court.
- **Sporting Code Integration** - Sportsbet has done the most work integrating itself with sports leagues in Australia, with strong relationships in place with the AFL, NRL and NBL. A reduction in available inventory and times available to advertise alongside live sport would likely negatively impact Sportsbet's brand reach, however feedback has steered to this being focussed around time-of-day as opposed to contemplating an outright ban. As such either the leagues will have to come up with some imaginative solutions or else the importance of this channel will have to diminish partially.
- **Social Media** - So far no specific feedback indicating bans, however given that feedback has centered around shielding children from gambling advertising we would guess that a likely component of any restrictions will include restrictions on social media displaying gambling advertising based on the age of the user, given under-age gambling is illegal in Australia anyway.
- **Group Betting, Affiliates, Sponsorships** - All likely to see some uplift in interest from wagering groups as focus areas for marketing given feedback from industry has typically suggested these channels will be left alone. Affiliate marketing is an area where the big three Sportsbet, Tabcorp and Entain have typically not participated, however Group Betting promotions and sponsorships are areas that could see an uplift.

Overseas Impact on Market Size & Dynamics from advertising restrictions

Further advertising restrictions in Australia are expected to have some impact on the market, however there are differing views on what might transpire. There is the possibility of it becoming harder to attract new customers, and a likelihood that bookmakers will have less ability to mass-inform players of available markets, promotions and products innovations. However, the Australian market is quite mature, with industry feedback indicating that less than 10% of revenue comes through new customers each year. As such competitor marketing and promotions often tend to focus on re-activation and retention rather than new customer acquisition.

Below we run through two case studies of the impact from advertising restrictions on wagering - Italy and Spain.

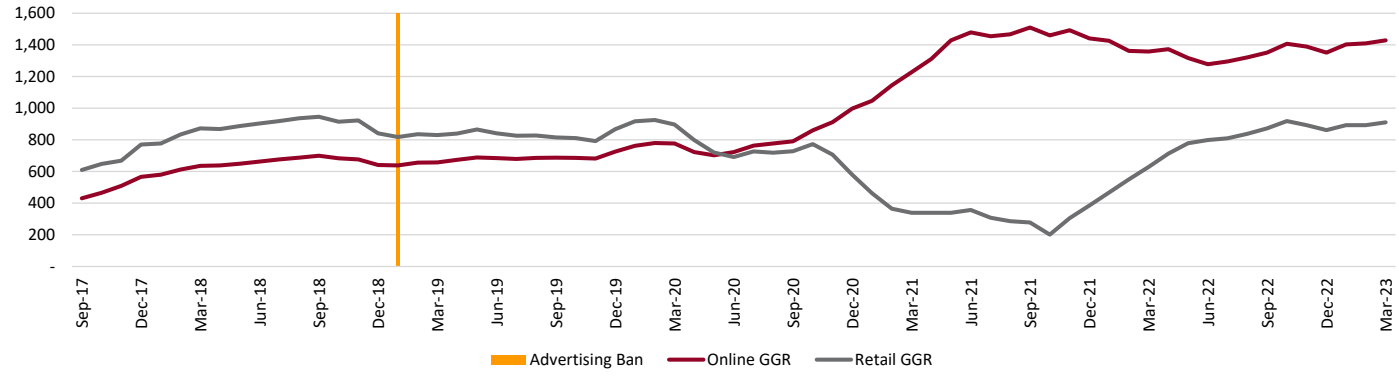
Italy

Italy was one of the first countries to enact harsh restrictions. In 2019, Italy's Dignity Decree banned almost all gambling advertisements including TV, radio, press and internet gambling marketing.

- Includes product placement, branded gadgets, organization of the events with prizes, direct and indirect advertising via social media.
- Some exceptions to the ban include the signs of gambling establishments or the website's domain name.
- Sponsorships of football was also prohibited, an industry once worth ~€120m.
- National lotteries are the only exceptions.

The impact from these bans was not particularly clear, with a decline in the lead-in to the bans that was noticeable in the three months prior (~10% decline in GGR levels), but then no really significant movement post the ban. The country then saw some ups and downs leading into and during COVID's initial phases, followed by a massive surge in Online GGR that has largely remained that is similar to patterns elsewhere around the world during the lockdowns. In aggregate wagering has grown significantly since the bans came into effect, driven by a big COVID leap in online and no ongoing impacts on retail to discern. We would note that the chart below is in nominal terms, as such inflation has likely helped to support growth overall.

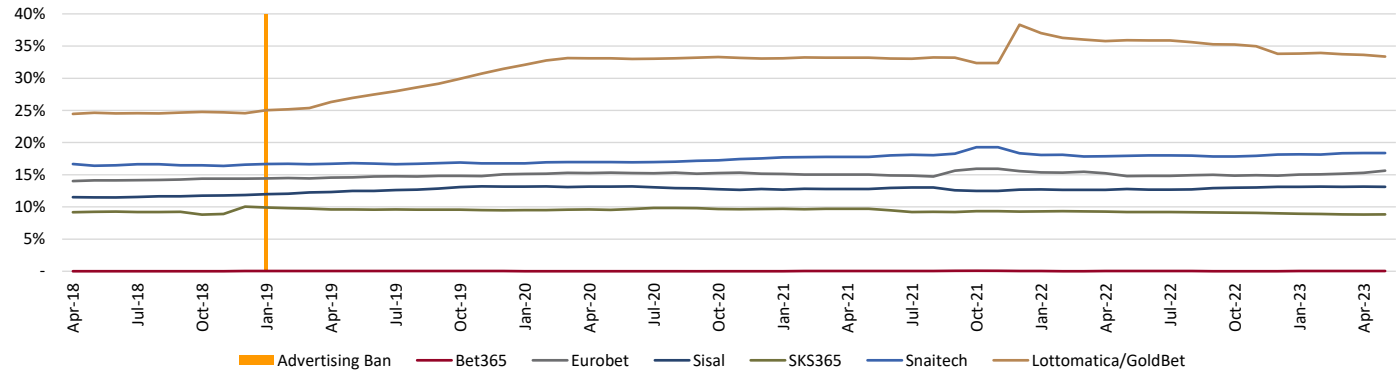
Exhibit 19 - Italy Wagering GGR by Channel (€m) - 12 month MAT



Source: ADM, iGB, E&P Estimates

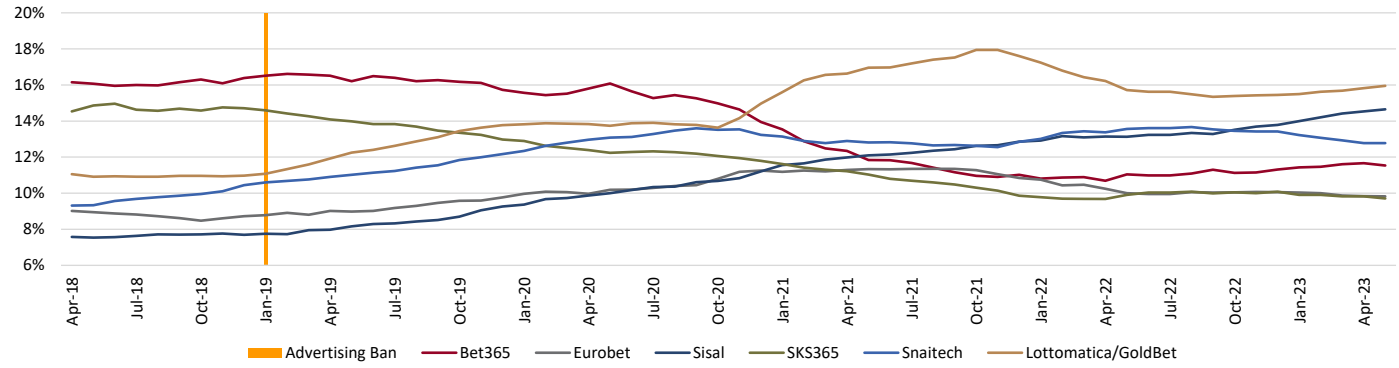
Regarding market share, those with the largest retail presence tended to gain online as well. For example Bet365, which has zero retail presence, went from the largest online operator by GGR before the ban to now the 4th largest operator. In contrast, Lottomatica/ Goldbet (Lottomatica acquired Goldbet in late CY21), which has the largest retail presence, grew from the 3rd largest to the largest operator by market share.

Exhibit 20 - Italy Online Retail GGR Market Share - 12 month MAT



Source: ADM, iGB, E&P Estimates

Exhibit 21 - Italy Online Wagering GGR Market Share - 12 month MAT

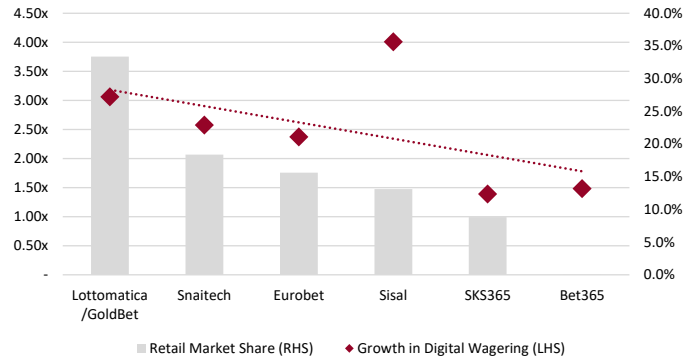


Source: ADM, iGB, E&P Estimates

If we rank the six largest operators by the increase in their online GGR since the advertising ban against their retail market share (left chart below), we can generally observe a trend that those with the greater retail market share have since generated the most growth. Although a small sample size, we believe this is a positive indicator for Tabcorp as it relates to potential further advertising restrictions in Australia.

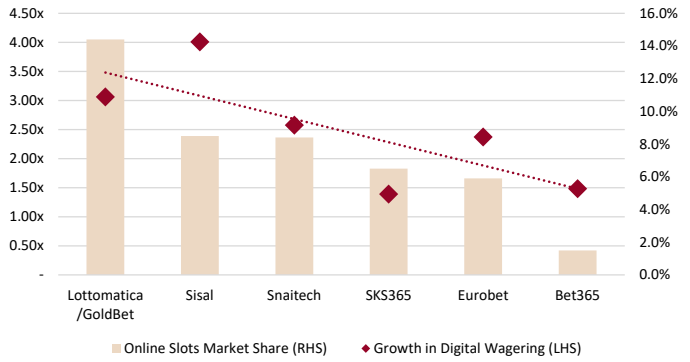
To balance the analysis, we note that there may be other factors driving this market share outcome. In Italy online gambling (ie. slots and live table games) is (and was at the time) legal and regulated, which contrasts to the present circumstance in Australia. Market share gains after advertising bans also showed correlation to online slot market share as well as retail market share. Crossover between the largest retail share and online slots market share was high. As such maybe the right conclusion is that in general some level of incumbency was a valuable asset when advertising bans came into place.

Growth in Online Wagering GGR since the Advertising Ban (LHS, 12-month MAT) based on Operator's Retail Market Share (RHS)



Source: ADM, iGB, E&P Estimates

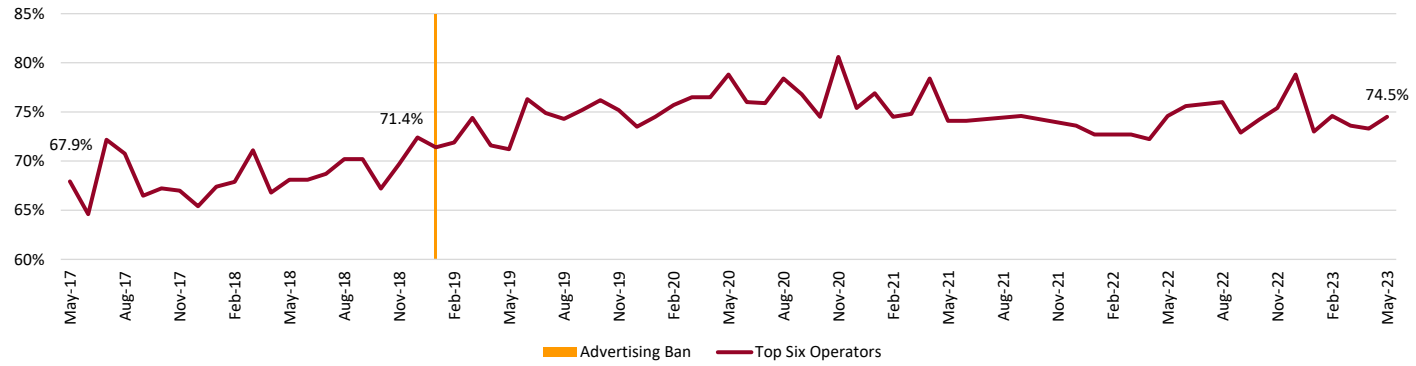
Exhibit 22 - Growth in Online Wagering GGR since the Advertising Ban (LHS, 12-month MAT) based on Operator's Online Slots Market Share (RHS)



Source: ADM, iGB, E&P Estimates

The below chart shows the level of concentration in online wagering share increased post advertising bans, albeit not dramatically. Also, we note that consolidation was already occurring prior to the advertising bans.

Exhibit 23 - Italy Online Wagering Market Fragmentation



Source: ADM, iGB, E&P Estimates

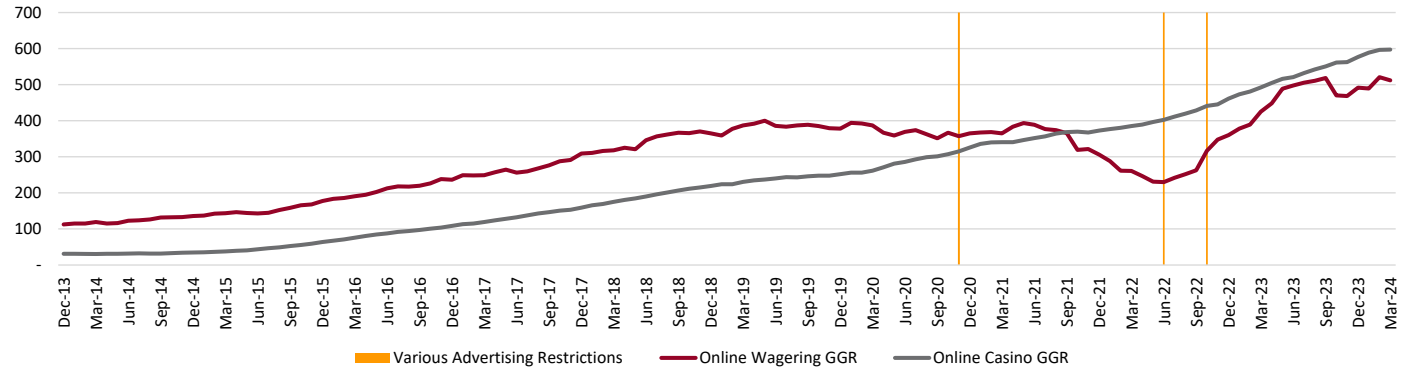
Spain

Spain initially set harsh restrictions which have since been partially repealed by the Supreme Court.

- In 2020, Spain's Royal Decree on the Commercial Communications of Gambling Activities came into effect.
  - This restricted ads to be broadcast from 1-5am, banned sponsorship deals, and restricted promotional bonuses.
  - Operator brands were also limited to only targeting promotions towards existing social media followers.
  - State-run lotteries were exempt from the restrictions.
- Later Spain also banned the use of celebrities in gambling advertising, as well as sport sponsorships.
  - Follow-on content restrictions including references to luxury goods, social status, physical health, economic stability or mental health were later included.
- The Spanish Digital Gaming Association (Jdigital) launched an appeal against the Royal Decree.
  - This appeal was rejected in November 2023 by the Spanish Constitutional Court.
  - In April 2024, the Supreme Court has since annulled several of the measures outlined in the Royal Decree, partially upholding the appeal.
  - The relaxed restrictions include targeting advertising, advertising in establishments designated for the sale of lottery games, the appearance of celebrities, adverts on video sharing platforms (such as YouTube) and social media adverts to users over 18.
  - The restrictions on TV and radio advertising hours remain, as does ban on sports sponsorship and broader gambling-sponsorship deals.

Initially the first phase bans that were put in place in 2020 had little if any impact on overall online wagering. The second set of bans came after a 12 month decline in online wagering volumes that looks like a post-COVID re-opening impact, and then coincided with online wagering volumes growing sharply and reaching new record levels.

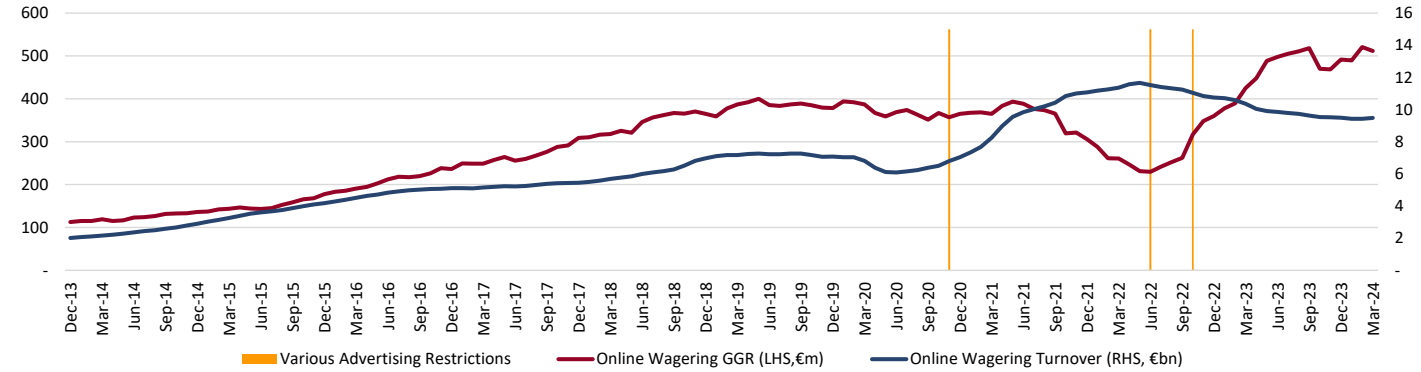
Exhibit 24 - Spanish Online Gambling GGR by Game Type (€m) - 12 month MAT



Source: DGOJ, E&P Estimates

Turnover has not moved exactly the same as GGR however, and instead has shown basically the same pattern as Australian GGR in general (without major changes in advertising restrictions), with a similar re-opening boom and then a taper. The difference being that margins have expanded significantly in Spain post the advertising bans driving higher GGR,

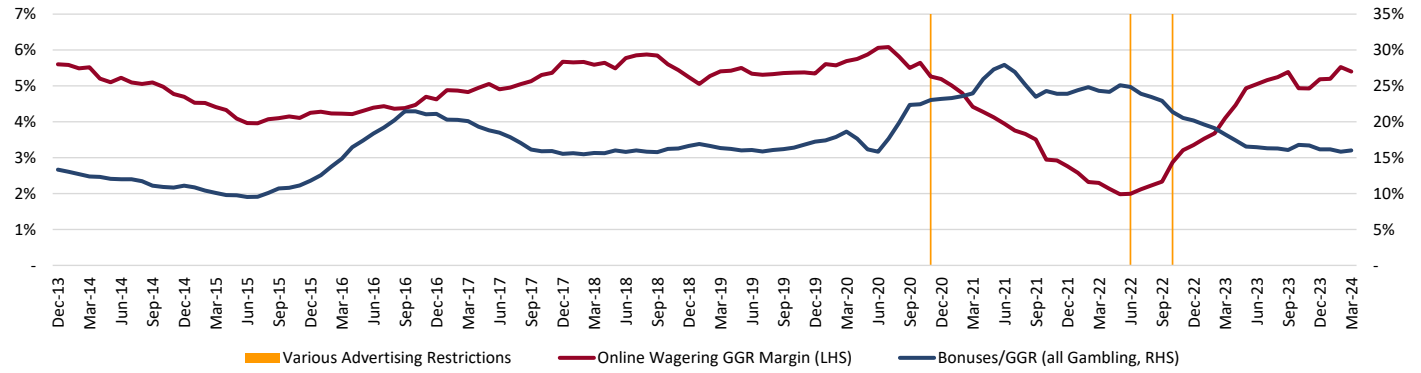
Exhibit 25 - Spanish Online Wagering - 12 month MAT



Source: DGOJ, E&P Estimates

If we examine margin performance over the same period, wagering operators appear to have used bonusing and promotions in order to try and capture share after the initial bans came into place, which collapsed online wagering margins. This appears to have stopped after the second wave of advertising restrictions came into force, and operators reverted their bonus and promotion activities to pre-ban levels. Margins remain elevated despite important Spanish wins in key events such Real Madrid in the Champions League (Jun-22), the Spanish Men's National team in the Nations League (Jun-23), and the Spanish Women's National team in the World Cup (Aug-23) which likely should have seen a margin impact of some sort.

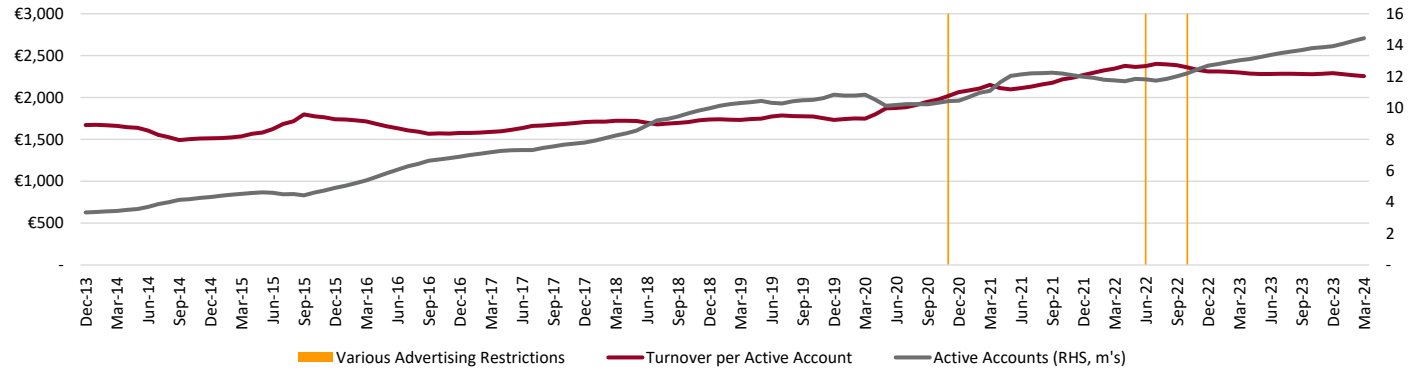
Exhibit 26 - Spanish Online Wagering Margin & Bonuses - 12 month MAT



Source: DGOJ, E&P Estimates

Turnover growth post the advertising bans in Spain was initially driven by both turnover per account and number of accounts. Once the second phase of advertising restrictions came into place turnover per account started to reduce, however active account numbers have risen steadily. We note that players are often active across multiple bookmakers and therefore not all active account growth is unique players, in fact we believe the data suggests the opposite, that this is a function of players spreading bets across more bookmakers than previously in an effort to find better odds and offers in a lower-promotion environment.

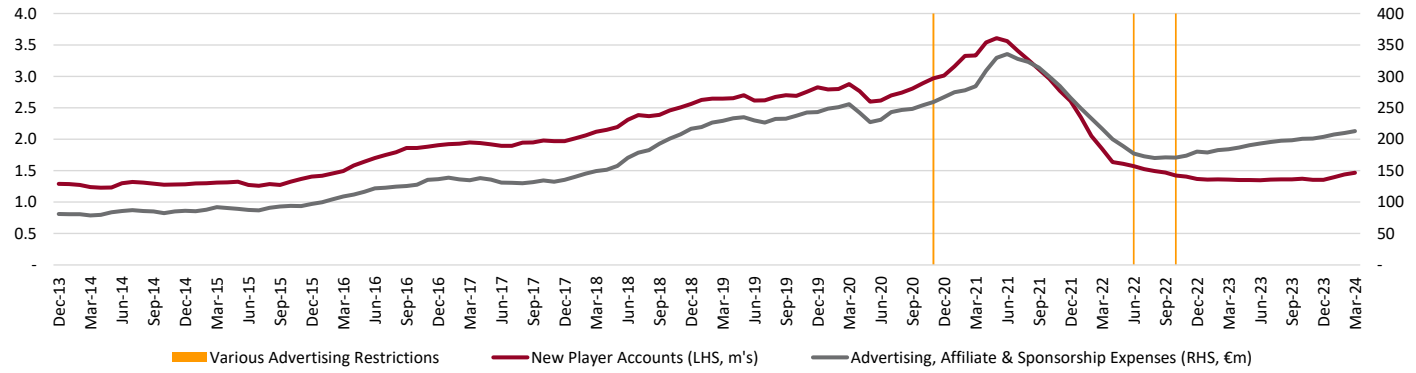
Exhibit 27 - Spanish Online Wagering Turnover Breakdown - 12 month MAT



Source: DGOJ, E&P Estimates

When we isolate new player accounts in Spain and examine across the same period of time, after the first phase of advertising bans there was still a 6mth period where new player accounts grew steadily, however this also appears to have been influenced by the timing of COVID lockdowns. On re-opening the impacts then look like they emerge, with the preponderance of new player accounts shrinking significantly even before the second phase of advertising restrictions came into place, but then also never showing any real recovery from the advertising restrictions after the second phase of bans.

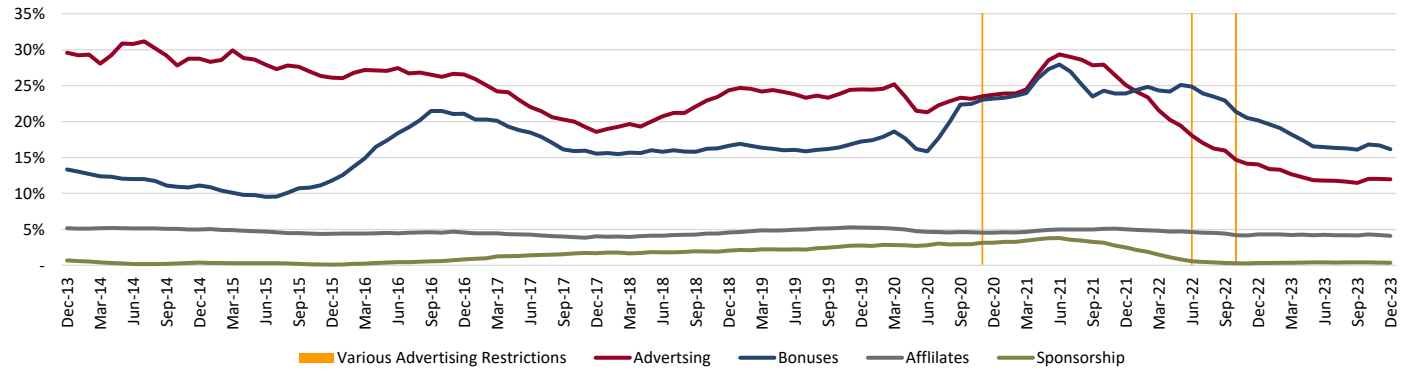
Exhibit 28 - Spanish Online Wagering Customer Acquision KPI's - 12 month MAT



Source: DGOJ, E&P Estimates

As a % of GGR, advertising is now around half of what it was pre advertising restrictions/COVID in Spain. Bonuses have now moderated back to their longer run average. Sponsorships have now been effectively reduced to zero, with affiliates the only source of wagering expenses that has remained stable.

Exhibit 29 - Spanish Online Wagering Expeneses as a % of GGR - 12 month MAT



Source: DGOJ, E&P Estimates

Changes to forecasts and valuation

We have made some changes to our margin forecasts for Tabcorp that reduce our near-term estimates. We had previously modelled a significant margin benefit from reduced competition, however more recent industry feedback has suggested that Tabcorp may not have gone after margins the same way as some competitors at this point in time.

We are leaving our revenue modelling unchanged for Tabcorp, but within this there is a difference in view. We are now presuming more turnover decline (racing driven) but also market share gains by Tabcorp due to having not withdrawn promotional activity.

Our valuation increases by +10.4% despite falling forecasts, as we are now incorporating a 50% probability of Tabcorp achieving a level playing field outcome in NSW. We are presuming a lower-benefit scenario ($120m annualised EBITDA impact with a $600m payment) as the base case (5x payment, which is a bit more than 1x less turns of EBITDA vs Victoria for which a licence renewal was also part of the deal). This adds 12cps to our valuation which otherwise would be 90cps.

Changes are summarised in the table below.

Exhibit 30 - Tabcorp - changes to forecasts and valuation

		FY24E	FY25E	FY26E
Revenue	New	2,291.4	2,528.1	2,562.6
	Old	2,291.4	2,528.1	2,562.6
	% change	-	-	-
EBITDA	New	324.1	455.7	470.6
	Old	329.0	474.6	497.4
	% change	-1.5%	-4.0%	-5.4%
NPAT -	New	25.8	90.9	118.6
	Old	29.2	104.3	137.3
	% change	-11.6%	-12.8%	-13.6%
Valuation	New	$1.02		
	Old	$0.92		
	% change	+10.4%		

Source: E&Pe

Tabcorp Holdings Ltd, Positive, VALUATION AUD1.02

EAP CORE DRIVERS

- Household disposable income driving gambling spend.
- Product innovation in wagering.
- Competitive intensity impacting both market share and margins.

INVESTMENT THESIS

- The potential renegotiation of the Victorian wagering licence on more favourable terms, noting our view Tabcorp's negotiating position has improved post-Covid, offset by increased competition.
- Online wagering competition from existing and new entrants with a margin advantage.
- Long-term decline of retail with covid granting competitors access to once out-of-reach retail-only customers.
- Rightsizing of Gaming Services an opportunity to realign the business.



FINANCIAL SUMMARY

Tabcorp Holdings Ltd				TAH-ASX	
As at:	01/07/2024			Recommendation:	Positive

Year end	Jun	2023A	2024E	2025E	2026E
INCOME STATEMENT					
Total Operating Income/Revenue		2,434.4	2,291.4	2,528.1	2,562.6
EBITDA		390.8	324.1	455.7	470.6
D&A		(240.5)	(224.4)	(253.9)	(244.9)
EBIT		150.3	99.7	201.8	225.7
Net Interest Expense		(23.8)	(37.3)	(55.9)	(49.3)
PBT		117.8	44.8	135.9	166.4
Tax expense		(31.0)	(12.2)	(39.0)	(50.8)
Share of profits from associates		(2.7)	(6.8)	(6.0)	3.0
NPAT attributable to s'hers		**84.1**	**25.8**	**90.9**	**118.6**
Year end	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**
BALANCE SHEET					
Assets					
Cash		290.7	295.6	389.9	490.3
Current Receivables		165.8	130.8	144.3	146.3
Other Current Assets		95.3	128.9	128.9	128.9
Total Current Assets		551.8	555.2	663.0	765.5
Property Plant & Equipment		272	192	186	182
Intangibles		1,410.2	1,396.9	1,343.0	1,296.0
Other Non-Current Assets		47.3	44.0	44.0	44.0
Total Non-Current Assets		3,500.6	3,188.8	3,128.6	3,078.2
Total Assets (BS)		4,052.4	3,744.0	3,791.6	3,843.7
Liabilities					
Total Current liabilities		630.1	547.9	550.5	553.3
Long Term Debt		431.9	1,018.7	1,018.7	1,018.7
Total Non-Current Liabilities		763.2	1,215.3	1,215.3	1,215.3
Total Liabilities		1,393	1,763	1,766	1,769
Total Shareholders' Equity		2,659.1	1,980.8	2,025.8	2,075.1
Net Assets		2,659.1	1,980.8	2,025.8	2,075.1
Net Tangible Assets		(485.1)	(937.3)	(838.3)	(742.2)
Book Value		2,659.1	1,980.8	2,025.8	2,075.1
Year end	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**
OPERATING CASH FLOWS					
EBITDA		391.0	324.1	455.7	470.6
Change in Working Capital		(63.4)	(56.8)	(10.9)	0.9
Other Operating Cashflow		(154.6)	(86.6)	0.0	0.0
Gross Operating Cash Flow		**173.0**	**180.7**	**444.7**	**471.5**
Net interest paid		(23.5)	(38.6)	(65.9)	(59.3)
Tax Paid		(30.2)	65.6	(39.0)	(50.8)
Net Operating Cash Flows		**119.3**	**207.6**	**339.9**	**361.4**
Investing Cash Flows					
Purchase of PP&E		0.0	(27.0)	(63.2)	(64.1)
Proceeds from Asset Sales		41.2	1.2	0.0	0.0
Other Investing Cashflows		59.0	18.1	(6.0)	3.0
Total Investing CashFlow		**(130.0)**	**(734.5)**	**(199.7)**	**(191.6)**

Source: Company data, E&P estimates

Share Price:	AUD0.70

Year end	Jun	2023A	2024E	2025E	2026E
FINANCING CASH FLOWS					
Proceeds from Borrowings		424.9	600.0	0.0	0.0
Net Proceeds Issue/Buyback of Securities		(2.5)	(1.9)	0.0	0.0
Distributions		(122.9)	(44.7)	(45.9)	(69.3)
Total Financing Cash Flow		**102.0**	**531.8**	**(45.9)**	**(69.3)**
Net Change in Cash		91.3	4.9	94.3	100.5
Free Cashflow		119.3	180.5	276.7	297.3
Year end	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**
PER SHARE DATA					
EPS - Adjusted (cents)		3.7	1.1	4.0	5.2
DPS (cents)		2.3	2.0	2.0	3.0
Cash Flow Per Share (cents/share)		5.2	7.9	12.1	13.0
Book Value ($/sh)		116.6	86.7	88.7	90.9
NTA Per Share ($/sh)		(21.3)	(41.0)	(36.7)	(32.5)
Year end	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**
SEGMENTALS					
Wagering & Media revenue		2,230.8	2,119.9	2,366.7	2,397.0
Gaming Services revenue		203.6	171.5	161.4	165.5
Gaming Services EBITDA Margin		308.0	253.3	384.9	398.0
Other EBITDA Margin		83.1	70.8	70.7	72.7
Year end	**Jun**	**2023A**	**2024E**	**2025E**	**2026E**
ANALYSIS					
EBITDA Margin (%)		16.1	14.1	18.0	18.4
EBIT Margin (%)		6.2	4.4	8.0	8.8
Net Profit Margin (%)		3.5	1.1	3.6	4.6
Capital Employed		2,800.3	2,703.9	2,654.7	2,603.4
Return on Capital Employed (%)		5.5	3.6	7.5	8.6
EBITDA/Capital Employed (%)		14.3	11.8	17.0	17.9
ROE %		**3.1**	**1.1**	**4.5**	**5.8**
Net Debt/Equity (%)		5.3	36.5	31.0	25.5
Net Debt/Net Debt & Equity (%)		5.0	26.7	23.7	20.3
Net Debt/EBITDA (x)		0.4	2.2	1.4	1.1
Net Interest Cover (x)		5.3	1.7	2.5	2.8
GOCF/EBITDA (%)		0.4	0.6	1.0	1.0
Total Capex/Sales (%)		9.5	32.9	7.7	7.6
Working Capital/Sales (%)		(0.2)	(0.2)	(0.1)	(0.1)
D&A/PP&E (%)		88.5	117.0	136.9	134.5
EV/EBITDA (x)		6.8	7.2	4.9	4.5

BLENDED VALUATION		
Valuation - DCF	1.02	1.0%
Valuation	AUD1.02	

RESEARCH RECOMMENDATION DEFINITIONS

Positive	Stock is expected to outperform the S&P/ASX 200 over the coming 24 months.
Neutral	Stock expected to perform in line with the S&P/ASX 200 over the coming 24 months.
Negative	Stock is expected to underperform the S&P/ASX 200 over the coming 24 months.
Speculative Buy	Stock has limited history from which to derive a fundamental investment view or its prospects are highly dependent on event risk, e.g. Successful exploration, scientific breakthrough, high commodity prices, regulatory change, etc. Consequently, the stock is considered a high-risk investment which may be prone to high volatility in share price movements, have a greater risk of capital loss and/or the stock may have low liquidity.
Suspended	Stock is temporarily suspended due to compliance with applicable regulatory and/or E&P policies in circumstances where E&P is acting in an advisory capacity.
Not Rated	Stock is not included in our investment research universe.

Research Criteria Definitions

Recommendations are primarily determined with reference to how a stock ranks relative to the S&P/ASX 200 on the following criteria:

Valuation	Composite of Rolling 12-month prospective multiples and discounted cash flow (DCF), or DCF for resource stocks.
Earnings Outlook	Forecast 2-year EPS growth.
Earnings Momentum	Percentage change in the current consensus EPS estimate for the stock (rolling 1-year forward basis) over the consensus EPS estimate for the stock 3 months ago.
Shareholder Returns	Composite of forecast ROE (rolling 1-year forward basis) and the percentage change in ROE over 2 years.
Debt Servicing Capacity	Rolling 12-month EBIT Interest Cover ratio.
Cyclical Risk	Qualitative assessment of the 2-year outlook for a stock/industry's profit cycle.
Industry Quality	Qualitative assessment of an industry's growth/returns potential and company specific management capability.
Financial Transparency	If we don't understand it, we won't recommend it.

For stocks where Evans and Partners does not generate its own forecasts, Bloomberg consensus data is used. Analysts can introduce other factors when determining their recommendation, with any material factors stated in the written research where appropriate.

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